Place of Effective Management (POEM)

where the real decisions happen!

Direct Tax Laws and International Taxation

In simple words *A foreign company becomes an Indian resident if its real decision-making sits in India.*

(1) Resident Company

A company is resident in India in a previous year if it is an Indian company, or its POEM in that year is in India.

Test it for each previous year

(2) POEM

Place where key management and commercial decisions needed to run the business as a whole are, in substance, actually made.

Substance over form

1. An Indian company is always resident in India, wherever it is managed.
2. A foreign company is resident only if its POEM is in India in that year.
3. POEM is decided on facts and substance, not on the paperwork.
4. Place of incorporation does not decide residence of a foreign company



Swipe for the summary →

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Residence at a Glance

Residence of a Company: POEM

three cases, one table

Company	POEM	Status in India
Indian company	Anywhere	Resident
Foreign company	In India	Resident
Foreign company	Outside India	Non-resident

Indian = always resident! POEM is a test only for foreign companies; an Indian company never needs it.

Swipe for a memory trick →

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STUDY TRICK

Residence of a Company: POEM

remember the brain, not the body

POEM = BRAIN, NOT ADDRESS

Look for the brain taking key decisions, not the registered address or the place of the meeting room. Brain in India means resident.

HOW TO ATTEMPT IT

1. Is it an Indian company? Then resident →
2. If foreign, find who takes key decisions →
3. Locate where they are made in substance →
4. POEM in India: resident, else not

EXAM TIP

In MCQs, first check Indian or foreign company. Only for a foreign company, read the facts for where key decisions are really made.

DOUBT BUSTER

Does a board meeting held in India make POEM India? Not by itself. Meeting place is only one fact. If key decisions are in substance made elsewhere, POEM is elsewhere.

Swipe for common mistakes →

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COMMON MISTAKES

Residence of a Company: POEM

don't fall for the address trap

✗ Foreign company incorporated abroad is always non-resident

✓ It is resident in India if its POEM is in India in that previous year.

✗ Indian company with POEM abroad is non-resident

✓ An Indian company is always resident in India; POEM is not tested for it.

✗ POEM is where the registered office is

✓ POEM is where key management and commercial decisions are in substance made.

✗ Board meeting place alone fixes POEM

✓ It is a factor only; the decision is based on substance of the facts.

TOMORROW'S CA FINAL MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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